

City of Brecksville

Offer to Purchase Form

SELLER(S): City of Brecksville ("City"), on behalf of
Brecksville-Broadview Heights City School District ("School District")

BUYER(S): NAME: Petros Homes Enterprises LLC
ADDRESS: 4223 Brecksville Road
CITY: Brecksville STATE: Ohio ZIP: 44286
BUSINESS PHONE: 440-546-9000 CELL PHONE: 440-724-6767
EMAIL: gnaim@petroshomes.com

PROPERTY ADDRESS: 9457 Highland Drive, Brecksville, Ohio 44141

PROPERTY DESCRIPTION:

The property is located on the east side of Highland Drive, south of Oakes Road. The property, owned by the School District, is located at 9457 Highland Drive, Brecksville, Ohio 44141, and includes parcel number 603-15-009. The site consists of 21,1595 gross acres, and has a net usable area of 20.93 acres, net of existing right-of-way and any additional deductions when applicable. The site has a one story, brick/block School Building, built in 1953, with 46,786 sq. ft. of useable area.

PROPERTY CONDITION: Buyer, as the City's assignee, agrees to purchase the property in its present "AS-IS" condition from the School District. Buyer represents and warrants to both the City and the School District that Buyer has been given a full and sufficient opportunity to examine the Property, has done so, has signed this Offer to Purchase as a result of the examination, and that Buyer is not relying on any representations of either the City or the School District, or anyone else on behalf of the City and the School District, whether verbal, written, or otherwise. Buyer accepts full responsibility for any non-apparent issues including, but not limited to, the presence of mold, insects, pests, gasses, soils and all subsurface matters including the possible existence of voids. Buyer understands that property has been rezoned to **Residential Single Family R-20 with Conditional Use of C-F Community Facilities, Class C and D only.**

BID PRICE: BUYER shall pay School District (hereinafter "SELLER") the sum of:	\$ 740,000* see Executive Summary
Earnest Money, delivered as Certified Check with Offer to Purchase made payable to <i>Brecksville-Broadview Heights City School District</i> , upon acceptance of final offer, credited against the purchase price:	\$ 74,000 (10% of Bid)

Buyer understands that all offers/qualification statements will be submitted for consideration by the designated representatives for the City of Brecksville and the Brecksville-Broadview Heights City School District, Board of Education.

In the event, the offer/proposal for 9457 Highland Drive, Brecksville, OH 44141 is less than the appraised value, the Board of Education will consider the offer/proposal within 45 days of receiving it and may accept or reject in its sole discretion. All terms and conditions of the purchase agreement between the School District and the City's assignee (hereinafter "BUYER") are to be negotiated and completed within 30 days.

By signing this form, the Buyer agrees to follow the terms and conditions set forth in Resolution #5263 between the City of Brecksville and the Brecksville-Broadview Heights City School District.

BUYER(S)

SIGNATURE

1)



PRINT NAME

Gary Naim



DATE

2/3/2023

2)

Please Check Here to Confirm Required Attachment is included with Offer to Purchase Form:

☒ Qualification Statement (see Bidder Instructions for minimum requirements)

Initial Side 2

Transfers. Title shall transfer by recording of quit-claim deed(s).

Title Work - As to District Properties. The Buyer ("City's assignee") may elect to cause a title insurance company of its selection ("Title Insurer") to examine title and perform a special tax search with respect to the property being transferred and issue a commitment ("binder") for the issuance of an owner's fee policy. If any encumbrances or title defects as to the property being transferred shall appear as exceptions on either binder or otherwise arise on or before the Closing (as defined below), and if either Party ("Objecting Party") notifies the other party ("Notified Party") in writing of its objection, the Notified Party shall have a period not exceeding thirty (30) days from receipt of such notice to remove such encumbrance or cure such defect at its own expense, although the Notified Party shall not be obligated to do so. If the Notified Party shall be unable or unwilling to remove any such encumbrance or cure any such defect within thirty (30) days, such Notified Party shall forthwith give written notice to the Objecting Party of its inability or unwillingness to cure such defect. Neither party need object to any monetary liens or encumbrances on the property being transferred to it, and the current owner shall remove same, at such current property owner's sole cost and expense, prior to Closing. If the Title Insurer reports that it is not willing and able to issue an Owner's Policy of Title Insurance (ALTA Form revised 10-17-05) without exceptions for any such encumbrances or defects which the Notified Party has been unable or unwilling to remove, the Objecting Party shall have the option, exercisable within thirty (30) days after receipt of such notice, to (a) accept title to the property being transferred to it, subject to said encumbrances and/or defects, or (b) terminate the Agreement by written notice to the Notified Party.

Closing, Costs and Prorations. All documents and funds necessary to complete these transactions shall be placed in escrow with the Title Insurer, or an agent thereof (the "Escrow Agent") no later than five (5) days prior to Closing. Closing of these transactions shall take place, provided all the terms and conditions of this Agreement have been fulfilled as provided in this Agreement, not later than five (5) days after the date all such documents have been deposited in escrow on such date as is mutually agreed to by the Parties, but in no case later than April 28, 2023 ("Closing Date"). All funds required for transfer of the Properties shall be deposited in escrow with the Escrow Agent not later than the Closing Date. This Agreement shall be considered the escrow instructions but shall be subject to the Escrow Agent's standard conditions of acceptance of escrow where not inconsistent with the terms and conditions of the Agreement. The standard conditions of acceptance of escrow shall be made a part of and incorporated into the Agreement by reference, and to the extent such incorporation by reference creates any inconsistencies or ambiguities, the terms and conditions of the Agreement shall control. The Escrow Agent is hereby authorized to close the transactions and to make all prorations and allocations which, in accordance with the Agreement, are to be made between the parties. Escrow Agent shall cause Title Insurer to search the title to each property being transferred, and if and when Escrow Agent has received all funds and documents to be deposited in escrow, Escrow Agent shall cause the quit-claim Deeds to be filed for record, the Title Policies to be issued to the Parties and the funds disbursed in accordance with the Agreement.

The Escrow Agent shall prorate real estate taxes and assessments, both general and special, which are a lien but not yet due and payable, with respect to the Premises as of the conveyance date, based upon the latest available tax duplicate. The Escrow Agent shall distribute funds to the appropriate party, less any net prorations or credits, and shall provide to the Parties a copy of the closing statement. The Escrow Agent shall be responsible for compliance with the reporting requirements pursuant to Section 6045 of the Internal Revenue Code, including the preparation of Form 1099.

The Escrow Agent shall charge to the party receiving the property the following costs and expenses: (a) all transfer taxes required by law to be paid at the time of the filing of the Deeds; (b) the Escrow Fee, and (c) the cost of recording and filing the Deeds. The Escrow Agent shall charge to any party receiving a Title Policy the cost of its respective Title Policy.

Condition and Responsibility for Property. District Properties are being offered in the present "AS IS" condition (subject to the District's right to remove loose furniture, fixtures and equipment). The Parties acknowledge that neither is relying upon any representations, warranties or other information given or supplied by the District with respect to environmental conditions existing on the District's Properties, or other matters in entering into this transaction or developing and constructing its property. District makes no covenant, representation or warranty as to the suitability of the District's Properties for any purposes whatsoever or as to the physical condition of the District's Properties.

Environmental Assessments. The City's assignee will have 180 days following the signing of this agreement to conduct such environmental tests, geotechnical tests and surveys as they deem appropriate and shall have a license to enter upon the Premises to do so. In the event the City or its assignee believes there is a condition on the property, they may elect to send a letter to the District and City stating its desire to terminate this Agreement as it applies to them.

DEVELOPMENT PLAN

Legal Descriptions; Surveys. The City's assignee shall be responsible for developing a legal description in a form approvable by the Cuyahoga County Engineer; and an ALTA survey, or such other form of survey acceptable to Cuyahoga County Engineer's Office. Provided, however, the Cuyahoga County Engineer's Office shall have the right to approve parcel configuration of any new sites. In the event such surveys show conditions unacceptable to the party for whom the survey was conducted, that party shall bear the cost and responsibility to remedy such conditions. Notwithstanding the same, each party shall reasonably cooperate with the other party to affect any survey remedies but not to the extent that the cooperating party incurs costs.

Coordination of Design. The City's assignee will work cooperatively with community leadership and the City of Brecksville on the design of the redeveloped District Property building and site.

Documents. Upon the request of any party, the District will provide public records that it has relating to the Properties being transferred.

Buyer Initial

Buyer Initial

**PETROS DEVELOPMENT GROUP &
PETROS HOMES**

4223 Brecksville Road
Richfield, Ohio 44286

440-546-9000

February 3, 2023

Rebecca Riser
Director of Purchasing
City of Brecksville
Attn: Rebecca Riser
9069 Brecksville Rd
Brecksville, OH 44141

Petros Development Cover Letter for Highland Drive Proposal

Dear Ms. Riser

Petros Development Group and Petros Homes are excited for the opportunity to partner with the City of Brecksville to build high quality homes to attract new residents to the City of Brecksville. We are proposing to construct 23 new single-family homes.

As this property will require large demolition and abatement operation to accommodate the development, we are proposing a purchase price of \$740,000. This following proposal includes the submission requirements of the Notice to Bidders and the Items included in the Qualification Statements, however supplemental and more detailed information is available upon request as noted throughout the proposal.

Upon review of our proposal, we hope that you find Petros Development and Petros Homes is the right fit for Brecksville and this property. We would welcome the opportunity to partner with Brecksville to generate an economic investment of \$23 million by developing 23 quality new homes in the Highland Drive neighborhood of Brecksville. These homes will be a tremendous benefit to the surrounding businesses as the new residents will spend money at the nearby restaurants, shops, clubs, etc. We look forward to discussing this project with you and providing any additional details you may need to evaluate our proposal, please do not hesitate to contact us at any time. Thank you for your time and consideration with this proposal.

Sincerely,

Sam Petros, President
Petros Development Group
4223 Brecksville Road
Richfield, Ohio 44286
(440)-546-9000 ext. 1222
spetros@petroshomes.com

Gary Naim, President
Petros Homes
4223 Brecksville Road
Richfield, Ohio 44286
(440)-546-9000 ext. 1221
spetros@petroshomes.com

**PETROS DEVELOPMENT GROUP, LLC &
PETROS HOMES ENTERPRISES, LLC**

4223 Brecksville Road
Richfield, Ohio 44286
440-546-9000

February 3, 2023

Executive Summary

RE: Proposal for Development of Highland Drive Property (the “School”)

Petros Development Group, LLC and Petros Homes Enterprises, LLC (collectively “Petros”) propose to develop 23 new R-20 residential lots with homes that will have an average sales price of over \$1,000,000. This will yield an economic investment in this property of \$23,000,000. Petros has a long history of building quality homes in Brecksville for over 35 years.

Petros is offering a purchase price of \$740,000 for the School. This offer is contingent upon:

- 1) Petros obtaining approval to build 23 single family homes on the property which meet the R-20 zoning code.
- 2) Demolition cost for the existing school NOT to exceed \$346,260 as identified in the bid packet.
- 3) A 10% Certified Check for \$74,000 (10%) is included with offer, which is fully refundable thru the due diligence and approval period.
- 4) Petros and the School entering a mutually agreeable purchase contract.

Petros looks forward to the opportunity to work with the City and School District on the redevelopment of this property to create a first-class neighborhood that will be a benefit to the community. Additional references and or supporting documentation will be provided upon request.